24STCV34231 24STCV34231

County: los-angeles

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Case Number: 24STCV34231 Hearing Date: August 11, 2026 Dept: 506

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

FOR THE

COUNTY OF LOS ANGELES - CENTRAL DISTRICT

ARTURO NUNEZ, JR., et al.,

Plaintiffs,

vs.

GENERAL MOTORS, LLC,

Defendant.

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CASE NO.: 24STCV34231

[TENTATIVE] ORDER SUSTAINING DEFENDANT'S DEMURRER; GRANTING MOTION TO STRIKE

Dept. 506

8:30 a.m.

August 11, 2026

On September 23, 2025, Plaintiffs Arturo Nunez Jr. and Arturo Nunez Sr. filed a first amended complaint ("FAC") against Defendant General Motors LLC arising from Plaintiffs' purchase of an allegedly defective vehicle.

On October 20, 2025, Defendant filed a demurrer to the fifth cause of action for Fraudulent Inducement – Concealment and a motion to strike punitive damages.

DEMURRER

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.)

A. The Fifth Cause of Action is Not Barred by the Statute of Limitations.

Defendant argues that the fifth cause of action is barred by the three-year statute of limitations. (Demurrer at pp. 8-10; see Code Civ. Proc., § 338, subd. (d).)

To sustain a demurrer on the statute of limitations, the running of the statute must appear clearly and affirmatively on the face of the complaint. (Geneva Towers Ltd. Partnership v. City of San Francisco (2003) 29 Cal.4th 769, 781.) "'[I]t is not enough that the complaint might be time-barred. [Citation.]'" (Ibid.)

Plaintiffs allege that on June 13, 2018, they entered into a warranty contract with Defendant. (FAC ¶ 6.) Before Plaintiffs purchased the vehicle, Defendant "was well aware and knew that the 8-speed transmission installed on the Vehicle was defective but failed to disclose this fact to Plaintiffs prior to and at the time of sale and thereafter." (FAC ¶ 61.) Accordingly, the deadline to file an action for fraudulent inducement of that purchase was June 13, 2021, but Plaintiffs did not file this action until December 26, 2024.

Plaintiffs allege that "the running of the limitation periods have been tolled by, inter alia, the following doctrines or rules: equitable tolling, the discovery rule, equitable estoppel, the repair rule, and/or class action tolling (e.g., the American Pipe rule) via the filing of Speerly et al. v. General Motors, LLC, No. 19-cv- 11044 DML-DRG (E.D. Mich.) (April 10, 2019)." (FAC ¶ 22.)

"The general rule is that the statute of limitations begins to run when the wrongful act is done, even though the plaintiff is ignorant of his or her cause of action or of the identity of the wrongdoer." (Snow v. A. H. Robins Co. (1985) 165 Cal.App.3d 120, 127.) The running of the statute of limitations may be postponed on certain causes of action until the time of discovery of the facts. (Ibid.) "With respect to actions based on fraud, the statute of limitations is tolled whenever plaintiff is able to show the defendant fraudulently concealed facts which would have led him to discover his potential cause of action." (Id. at pp. 127-128.)

Plaintiffs

allege that they discovered the wrongful conduct “shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following Defendant’s unsuccessful attempts to repair them.” (FAC ¶ 24.) Plaintiffs also allege that “[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to transmission defects, engine defects, electrical defects; among other defects and non-conformities,” but no dates are alleged. (FAC ¶ 11.) Thus, it is not clear from the face of the complaint when Plaintiffs should have discovered that Defendant fraudulently concealed facts.

The demurrer is overruled on this ground.

B. The Fifth Cause of Action Does Not Allege Fraud with Specificity.

Defendant argues that the fifth cause of action does not allege sufficient facts, including a duty to disclose. (Demurrer at pp. 10-13.)

Fraud based on concealment requires that “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311.)

An essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (Id. at p. 314.) “There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.’” (Id. at p. 311.) “[O]ther than the first instance, in which there must be a fiduciary relationship between the parties, 'the other three circumstances in which nondisclosure may be actionable presuppose[ ] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . "[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts." [Citation.]' [Citation.]" (Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1187 (Hoffman).) "Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party." (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1256, 1384.)

Plaintiffs allege that Defendant "was well aware and knew that the 8-speed transmission installed on the Vehicle was defective but failed to disclose this fact to Plaintiffs prior to and at the time of sale and thereafter." (FAC ¶ 61; see FAC ¶ 62 [identifying specific defects].) Because of the defects, "Plaintiffs have suffered and will continue to suffer actual damages." (FAC ¶ 76.) Plaintiffs did not know about these defects and problems, and Defendant, who had superior knowledge of 71-73.) The allegations are specific enough to allege the information that was concealed. (See Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1187, 1199-1200.)

However, Plaintiffs do not allege facts showing the existence of a relationship between the parties that gives rise to a duty to disclose facts. (See Hoffman, supra, 228 Cal.App.4th at p. 1187.) Plaintiffs allege only that Defendant "was in a superior position from various internal sources to know (or should have known) the true state of facts about the material defects contained in vehicles equipped with the 8-speed transmission." (FAC ¶ 71(b).) There are also no facts showing why Defendant's knowledge was exclusive or that Defendant intended to defraud. Indeed, Plaintiffs allege that there were "early consumer complaints about the Transmission Defect," suggesting that the knowledge was in fact public. (FAC ¶ 71(a).)

Additionally, Plaintiffs fail to allege any independent duty or harm beyond the terms of the contractual relationship, and only economic damages from breach of warranty are alleged. Plaintiffs "were harmed by purchasing a vehicle that Plaintiffs would not have purchased had Plaintiffs known the true facts about the Transmission Defect." (FAC ¶ 76.) This harm is purely economic from the purchase of the vehicle. Plaintiffs' allegation that they "unknowingly exposed themselves to the risk of liability, accident, and injury as a result of Defendant GM's fraudulent concealment of the Transmission Defect" (FAC ¶ 76) does not state that Plaintiffs were in fact damaged. Unknown risk that does not result in liability or injury by definition is not actual damage. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 202 ["Misrepresentation, even maliciously committed, does not support a cause of action unless the plaintiff suffered consequential damages," concurring opinion]; Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248 ["as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage"].)

The demurrer is sustained on this ground.

MOTION TO STRIKE

The court may, upon a motion or at any time in its discretion: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subds. (a)-(b).)

Defendant moves to strike Plaintiffs' prayer for punitive damages. A plaintiff can recover punitive damages in tort cases where "the defendant has been guilty of oppression, fraud, or malice." (Civ. Code, § 3294, subd. (a).) "The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. [Citation.] Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim. [Citation.]" (Grieves v. Superior Court (1984) 157 Cal.App.3d 159, 166, fn. omitted.) Additionally, a plaintiff is not entitled to recover both punitive damages and civil penalties under Song-Beverly. (Troensegaard v. Silvercrest Industries, Inc. (1985) 175 Cal.App.3d 218, 228.)

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Court concurrently sustains the demurrer to the fraud cause of action, and there are no other specific facts showing oppression or malice.

The motion to strike is granted.

CONCLUSION

The demurrer to the fifth cause of action is SUSTAINED. The motion to strike is GRANTED.

At the hearing, Plaintiffs should be prepared to explain what additional facts will be pleaded and exactly how any amendments can remedy the deficiencies of the FAC without making it a sham pleading. The Court will decide at the hearing whether to grant leave to file a Second Amended Complaint.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit. If all parties in the case submit on the tentative ruling, no appearances before the Court are required unless a companion hearing (for example, a Case Management Conference) is also on calendar.

Dated this 11th day of August 2026

Hon. Thomas D. Long

Judge of the Superior Court